RESERVE POLICY

Governing provision

Reserve planning may use the fully funded capitalization only as a subordinate view.

Controls, Exceptions, and Version Administration

Reserve Policy identifies its authority, effective date, scope, defined terms, mandatory controls, evidence owners, approvers, escalation paths, exceptions, monitoring, and version history.

An exception requires written rationale, compensating controls, approval, expiry, and continuing monitoring; a prior exception does not create a standing waiver.

Superseded drafts remain available for history but do not control a current transaction merely because they contain later edits or more detailed examples.

Section 1. Purpose, Standing, and Application

This policy governs how the firm establishes, maintains, re-forecasts and releases capital reserved for follow-on investment. Edition 5, revision 2 was approved on 2025-10-27 and has been in force since 2025-11-03. It applies to every vehicle the firm manages that may invest more than once in the same issuer, and it applies from the moment an initial investment is presented for decision rather than from the moment a follow-on is contemplated.

A reserve under this policy is an internal allocation of capital, not a commitment to the issuer and not an option the issuer may call. Nothing in a reserve gives any person outside the firm a right to funding, and no member of a deal team may describe a reserve to an issuer, a founder or a co-investor as though it did. A description of that kind is escalated to the chief compliance officer as a matter of the same seriousness as an unauthorised commitment.

Every amount, ceiling and designated computation basis this policy applies is held in Schedule A and Schedule B rather than in the body. The body states when a reserve must exist, how it is computed, who owns each step, what evidence must be filed, and what happens when the rule is not met; the schedules state the figures and the designations. A computation is not complete until the schedule edition it relied on is recorded with it.

Where a fund's limited partnership agreement restricts follow-on investment or recycling, that restriction prevails over this policy and counsel identifies the restriction in writing before the first reserve is established for the fund. The reserve analyst may not infer the restriction from prior practice, and a reserve established without the written identification on file is reported to the committee as a control exception.

Section 2. The Reserve Framework and Defined Terms

Reserved position means a position against which a reserve is held. Reserve amount means the capital allocated to a reserved position at a point in time. Funding path means the sequence of further investments the reserve is sized against, stated as events rather than as dates where the events are conditional. Headroom means the difference between the reserve amount and the capital the funding path would consume if every event occurred.

Designated view means the view of a capital structure that Schedule B designates for a stated purpose, and subordinate view means any other view presented alongside it. Uncommitted capital means the capital available to the fund for investment after deducting drawn and committed amounts, computed as the chief financial officer's statement defines it. Aggregate reserve means the sum of reserve amounts across every reserved position of a fund.

The framework has four operations and no others: establishment at initial investment, re-forecast, release, and reallocation. Any change to a reserve amount is one of those four and is recorded as such. An adjustment recorded without identifying which operation it was cannot be reconciled between cycles and is rejected by the fund controller when the register is reconciled to the accounts.

The policy amount for a position is the reserve the schedules produce for it on the designated view. The committee may establish a reserve above the policy amount only by decision, and may not establish one below it at all; a position the firm is unwilling to reserve for at the policy amount is a position the firm should be asked whether to make, and the sponsoring partner must put that question to the committee expressly.

Section 3. Establishing the Reserve at Initial Investment

A reserve must be established before the initial investment is funded. The reserve analyst prepares the computation from the capital structure extract supplied by deal analytics, applies the designated view, and files the computation with a basis statement naming the schedule designation relied on. Where no reserve is established the position may not be funded, and the committee may not defer the reserve to a later cycle.

The computation must state the funding path it assumes, event by event, and identify for each event the right or obligation that gives rise to it. An event that rests on no right and no obligation is a discretionary event and is shown separately, because a reserve built mainly on discretionary events is a statement of intention rather than a measurement and the committee is entitled to see which it is being asked to approve.

The analyst must obtain and file the uncommitted capital statement current at the date of the computation, and must test the aggregate reserve including the new reserve against it. Where the test shows a shortfall the analyst reports the shortfall to the committee before the funding decision, and the committee either releases reserve elsewhere, reduces the new reserve by decision, or declines the investment.

Establishment is certified by the reserve analyst and countersigned by the chief financial officer, who certifies only the uncommitted capital statement and not the computation built on it. Neither certificate may be given by a member of the deal team presenting the opportunity, and where the analyst is unavailable the certification passes to the fund controller rather than to the sponsoring partner.

Section 4. Views of a Capital Structure Used in Reserve Measurement

4.1 Designated and subordinate views. A capital structure may be read on more than one view, and the two views this policy recognises differ in what they treat as having happened. The first-close view reads the structure as it stands immediately after the initial funding of a financing, counting only the instruments, conversions and reserves that exist at that point. The fully-funded view reads the same structure as it would stand once every contemplated funding under the same financing has occurred, counting conditional and later-tranche instruments as though they had been issued. For each purpose to which a view is applied, the authoritative view is the one Schedule B designates for that purpose, and the other view may be presented only as a subordinate illustration.

4.2 Use of a subordinate view. A subordinate view may be presented to show sensitivity, to explain a divergence, or to support a discussion of the funding path, and must be labelled as subordinate on the face of the presentation. A subordinate view may never drive a reserve amount, and a computation that has taken its result from a subordinate view is withdrawn and re-performed rather than reconciled. Where a reader cannot tell from the document which view produced a stated amount, the document fails this section whether or not the amount is correct.

4.3 Presentation of both views. Where the two views produce materially different results the reserve pack shows both, identifies the designated one, and explains the difference by reference to the instruments and reserves that the fully-funded view counts and the first-close view does not. The explanation names those items rather than describing the difference as a timing effect, because the composition of the difference is what tells the committee whether the divergence will resolve itself or persist.

4.4 Consequence and escalation. A reserve computed on a view other than the designated one is void and is reported to the committee at its next meeting as a control failure, with the amount that would have applied on the designated view. Where a reviewer believes the designation in Schedule B is inappropriate for a purpose, the reviewer records the belief and escalates it; the reviewer may not apply a different view in the meantime, and may not resolve the question by presenting the two results without stating which governs.

Section 5. Re-Forecast Cadence and Trigger Events

Re-forecast is the routine operation of this policy and the principal control over it. A reserve that has not been re-forecast on its cycle is treated as unsupported from the end of that cycle, and the fund controller marks it as unsupported when reconciling the register. The triggers below are additional to the scheduled cycle and do not replace it; a trigger arising in the same cycle as the scheduled re-forecast is recorded separately so the reason for the restatement remains visible.

RF-01 Scheduled cycle. Every reserved position is re-forecast on the cycle stated in the reserve calendar, whether or not anything about the position has changed. The reserve analyst refreshes the funding path, restates the reserve on the designated view, and files the result with a note of what moved since the previous cycle; a cycle with no movement is filed as a no-change re-forecast rather than skipped.

RF-02 New financing at the issuer. A financing round at an issuer in which the fund holds a reserved position requires an out-of-cycle re-forecast before the fund's participation is settled. The analyst rebuilds the capital structure from the new instruments, restates the reserve, and reports whether the position's expected ownership path still supports the thesis of record; the report goes to the committee even where the fund declines to participate.

RF-03 Change in a designated basis. An amendment to Schedule B, or to any designation on which a reserve computation depends, requires every affected reserve to be restated on the amended basis. The analyst restates the affected reserves, and the reserve pack shows the previous and restated amounts side by side with the amendment reference, so that a change in basis is never mistaken for a change in the underlying position.

RF-04 Instrument conversion or exercise. Conversion of a convertible instrument, exercise of a warrant, or a material forfeiture at an issuer requires re-forecast within the reporting cycle in which it occurs. The analyst confirms that the post-event capital structure has been recorded, restates the reserve, and notes whether the event consumed part of the headroom the reserve was sized against.

RF-05 Missed operating condition. Where a funding obligation of any investor is conditioned on an operating outcome and that outcome is not met, the reserve is re-forecast on the assumption that the conditioned funding does not occur. The analyst prepares the reserve on that assumption and separately shows the reserve that would apply if the condition were later satisfied; the committee is told which of the two the fund is being asked to commit against.

RF-06 Downward valuation event. A write-down of a reserved position, or an external transaction at a price below the fund's carrying basis, triggers re-forecast in the same cycle. The analyst restates the reserve and states whether the position remains one the fund would reserve against at all; a recommendation to cease reserving is put to the committee explicitly rather than implied by a reduced number.

RF-07 Change in uncommitted capital. A capital call, a distribution, an expense accrual or a change in recycling capacity that alters the fund's uncommitted capital requires the aggregate reserve position to be retested for adequacy. The chief financial officer issues the revised uncommitted capital statement, and the analyst retests the aggregate reserve against it and reports any shortfall to the committee before the next reserve is established.

RF-08 Approaching end of investment period. As a fund approaches the end of its investment period every reserve is re-forecast against the capital that will remain available for follow-on investment after that date. The analyst distinguishes reserves that may still be deployed from reserves that cannot, and the committee decides which of the latter are released; a reserve that cannot be deployed may not be carried forward merely to preserve the appearance of support.

RF-09 Secondary transfer in the position. A transfer of the fund's interest, or a transfer between other holders that changes the composition of the register, requires re-forecast in the cycle following the transfer. The analyst records the transfer against the position file, restates the reserve on the register as it then stands, and reports whether any right the reserve assumed the fund would exercise has been affected by the transfer.

RF-10 Governance or information right lost. Loss of a board seat, an observer right or an information right at a reserved position requires re-forecast and a written assessment of whether the fund can still monitor the position adequately. The analyst restates the reserve and the sponsoring partner files the monitoring assessment; where the assessment concludes that monitoring is no longer adequate the reserve is presented for release rather than maintained.

Where two triggers arise in the same cycle the analyst performs a single re-forecast and records both triggers against it, rather than performing two and leaving a reader to reconcile them. Where a trigger arises after the pack has been issued but before the committee meets, the analyst tables a supplement at the meeting; the pack is not reissued, because a reissued pack destroys the record of what the committee was originally asked to consider.

Schedule 5.12 - Re-forecast triggers, ownership and required output

Trigger	Event	Scope re-forecast	Performed by	Reviewed by	Output	Timing rule
RF-01	Scheduled cycle	Every reserved position	Reserve analyst	Chief financial officer	Reserve pack	Filed even with no change

Trigger	Event	Scope re-forecast	Performed by	Reviewed by	Output	Timing rule
RF-02	New financing at the issuer	The affected position	Reserve analyst	Sponsoring partner	Out-of-cycle restatement	Before participation settles
RF-03	Change in a designated basis	All affected positions	Reserve analyst	Committee secretary	Basis-change comparison	Previous and restated shown
RF-04	Conversion, exercise or forfeiture	The affected position	Deal analytics	Reserve analyst	Post-event structure note	Same reporting cycle
RF-05	Operating condition not met	The affected position	Reserve analyst	Committee	Dual-path reserve statement	Committee told which path applies
RF-06	Write-down or external down transaction	The affected position	Head of valuation	Reserve analyst	Restatement with recommendation	Cease-reserving put explicitly
RF-07	Change in uncommitted capital	Aggregate reserve	Chief financial officer	Committee	Adequacy retest	Before the next reserve is set
RF-08	Investment period ending	Every reserved position	Reserve analyst	Committee	Deployability schedule	Undeployable reserve released
RF-09	Secondary transfer	The affected position	Fund controller	Reserve analyst	Register restatement	Cycle following transfer
RF-10	Governance or information right lost	The affected position	Sponsoring partner	Committee	Monitoring adequacy assessment	Release if monitoring inadequate

Governing provision and cross-references

Reserve planning may use the fully funded capitalization only as a subordinate view.

This provision is read with the defined terms, the schedules to this instrument, and any consent or waiver recorded against it; a summary prepared from it does not vary it.

Section 6. Release, Reallocation, and Recycling

Release removes a reserve; reallocation moves it. The two are recorded separately even where they occur in the same decision, because an aggregate reserve that falls while its composition changes cannot otherwise be reconciled. Every release and every reallocation is supported by a current re-forecast, and the analyst may not release on the strength of a re-forecast that a trigger has since superseded.

RL-01 Position fully funded. When every contemplated funding of a position has occurred and no further right or obligation to fund remains, the reserve held against it is released in the cycle following the final funding. The analyst certifies that no further funding right exists, and the release is minuted; the position file records the date the reserve ceased rather than allowing the reserve to lapse silently.

RL-02 Right to participate expired. Expiry of a pre-emptive or participation right the reserve was sized against releases the reserve to the extent it was sized against that right. The analyst identifies the expired right by instrument and clause, releases the corresponding portion, and states whether any residual reserve remains and on what basis it is now sized.

RL-03 Committee decision not to support. A committee decision that the fund will not support a position further releases the whole reserve held against it, effective on the date of the decision. The secretary records the decision and the analyst releases the reserve in the same cycle; the reserve may not be retained on the footing that the decision might be revisited.

RL-04 Realization or write-off. Realization of a position, or a write-off of the fund's whole carrying basis in it, releases the reserve held against it. The analyst confirms the accounting treatment with the fund controller before releasing, because a partial realization may leave a funding right in place that continues to require support.

RL-05 Reallocation to another reserved position. Released reserve may be reallocated to another reserved position only by a committee decision that identifies both positions and states the amount moved. The reserve pack shows the movement as a transfer between named positions rather than as two unrelated adjustments, so that the aggregate reserve and its composition both reconcile between cycles.

RL-06 Reallocation to uncommitted capital. Released reserve returns to uncommitted capital unless the committee reallocates it, and the return is reflected in the next uncommitted capital statement. The chief financial officer confirms the return and the analyst reconciles the aggregate reserve to the statement; an unexplained difference between the two is escalated before the pack is issued.

RL-07 Recycling capacity applied. Where the fund's agreement permits recycling, reserve funded by recycled proceeds is identified separately and may be released only within the limits the agreement imposes on recycling. Counsel confirms the limit that applies and the analyst records the confirmation against the reserve; the reserve pack shows recycled and unrecycled capacity distinctly rather than as a single figure.

RL-08 End of investment period. Reserve that cannot lawfully be deployed after the end of the investment period is released on that date without a further decision. The analyst prepares the release schedule in advance so the committee can reallocate deployable reserve before the date, and the schedule identifies each position whose support ends.

Reserve may not be released to improve a reported deployment statistic, to accommodate a new opportunity that has not yet been approved, or to avoid reporting a shortfall in the aggregate adequacy test. Where a release would have any of those effects the analyst records the fact in the release paper and the committee decides with that disclosure in front of it; a release paper that omits the disclosure is returned by the secretary unminuted.

Schedule 6.11 - Release and reallocation triggers with required evidence

Trigger	Condition	Effect on the reserve	Evidence filed
RL-01	Position fully funded	Whole reserve released	Analyst certificate that no funding right remains
RL-02	Participation right expired	Portion released	Instrument and clause reference for the expired right
RL-03	Decision not to support	Whole reserve released	Minute of the committee decision
RL-04	Realization or write-off	Whole or partial release	Accounting treatment confirmed by the controller
RL-05	Reallocation between positions	Transfer between named positions	Committee decision naming both positions
RL-06	Return to uncommitted capital	Reserve returns to capital	Revised uncommitted capital statement
RL-07	Recycled capacity applied	Release limited by the recycling limit	Counsel confirmation of the applicable limit
RL-08	Investment period ends	Undeployable reserve released	Deployability schedule prepared in advance

Section 7. Breach of a Reserve Ceiling: Escalation and Approval

A breach occurs where a reserve is proposed above the ceiling Schedule A sets for the position, or where the aggregate reserve would exceed uncommitted capital. A breach may be approved only by the committee, on a written memorandum that states the ceiling, the proposed amount, the reason the ceiling is inadequate, the alternatives considered, and the consequences for the fund's remaining capacity.

The memorandum must be prepared by the reserve analyst and may not be prepared or edited by the sponsoring partner, whose separate paper argues the merits. The two papers are tabled together so the committee reads the constraint and the argument side by side; a single combined paper is returned by the secretary because it obscures which function is asserting what.

An approved breach carries an expiry and a monitoring assignment in the same way as an exception under the investment committee mandate, and is reported in the reserve pack until it is remediated or lapses. A breach that has lapsed without remediation is reported as an unremediated breach and the position is presented for a decision on whether to continue supporting it.

Where the aggregate adequacy test fails, no new reserve may be established anywhere in the fund until the aggregate is brought back within capacity, whatever the merits of the new position. The chief financial officer enforces this by declining to issue a supporting capital statement, and the committee may not direct the officer to issue one.

Section 8. Ownership, Certification, and Segregation of Duties

Each step in the reserve process has one owner, and the owner of a step may not also certify the step where the schedule to this section requires a separate certifier. The separation is the control: a reserve computed and certified by the

same person is not evidence of anything beyond that person's view, and the committee treats such a computation as unsupported.

The reserve analyst reports functionally to the chief financial officer and not to the deal teams, and the analyst's remuneration may not be determined by reference to the deployment rate of the funds. This is stated in the policy because the independence of the computation is what makes the aggregate adequacy test meaningful, and an analyst under deployment pressure will produce a reserve that reflects that pressure.

Where a required certifier is unavailable, the schedule names the substitute and no other substitution is permitted. An urgent matter that cannot obtain its certifications waits; the committee has adjourned matters for this reason and the minute records the adjournment so the cost of the control is visible alongside its benefit.

Schedule 8.6 - Reserve process steps, owners and separation requirements

Process step	Owner	Separate certifier required	Separation requirement	Record produced
Build the reserve computation	Reserve analyst	No	Independent of the deal team	Computation worksheet
Supply the capital structure input	Deal analytics	No	May not also certify the reserve	Structure extract
Certify the designated view applied	Reserve analyst	Yes	Names the schedule designation relied on	Signed basis statement
Issue the uncommitted capital statement	Chief financial officer	Yes	Not delegable to the analyst	Capital statement
Test aggregate adequacy	Chief financial officer	Yes	Reported to the committee in the same cycle	Adequacy test
Approve establishment at the policy amount	Reserve analyst	No	Committee approval required above the policy amount	Reserve register entry
Approve a breach of a reserve ceiling	Committee	Yes	Not delegable in any circumstance	Minute and breach memorandum
Release reserve to uncommitted capital	Committee	Yes	Requires a current re-forecast on file	Release minute
Reconcile the register to the accounts	Fund controller	Yes	Performed before the pack is issued	Reconciliation statement

Section 9. Reporting to the Committee and to Limited Partners

The reserve pack is issued to the committee on the cycle stated in the reserve calendar and contains the items listed in the schedule to this section. Each item is presented with its movement since the previous cycle, because an item presented only at its current value tells the committee nothing about whether the process is operating. An item that has not moved is shown as unmoved rather than omitted.

Reporting to the limited partner advisory committee is at the aggregate level and excludes position-level detail except where a fund's agreement requires it. The chief financial officer reconciles the aggregate figures reported externally to the internal register before issue, and files the reconciliation; a difference between the internal and external figures is escalated before either is issued.

No reserve figure may be reported externally as a commitment, a pipeline or an expectation of further funding. The external presentation states that reserves are internal allocations subject to this policy and to committee decision, and the chief compliance officer reviews the wording of the external presentation each period rather than relying on the wording used in the previous one.

Schedule 9.7 - Reserve reporting contents, audience and cadence

Reported item	Audience	Cadence	Prepared by
Aggregate reserve and its movement since the previous cycle	Committee	Every cycle	Reserve analyst
Composition of reserve by position with the view applied to each	Committee	Every cycle	Reserve analyst
Uncommitted capital statement and the adequacy test against it	Committee	Every cycle	Chief financial officer
Positions re-forecast out of cycle, with the trigger for each	Committee	Every cycle	Reserve analyst

Reported item	Audience	Cadence	Prepared by
Reserves released, with the release trigger and the amount	Committee	Every cycle	Reserve analyst
Reserves reallocated between positions, showing both positions	Committee	Every cycle	Committee secretary
Approved breaches of a reserve ceiling and their monitoring status	Committee	Every meeting	Chief compliance officer
Aggregate reserve and deployable capital, without position detail	Limited partner advisory committee	Semi-annual	Chief financial officer

Section 10. Monitoring and Independent Testing

The adequacy tests in the schedule to this section are performed on the stated cadence and their results are filed whether or not they identify an issue, because a test whose result is filed only when it fails cannot be shown to have been run. A test not performed on its cadence is itself an issue and is reported in the pack for the cycle in which it was missed.

Internal review tests the reserve process annually against this policy, selecting a sample of computations and re-performing them from the underlying extracts. The review reports on whether the designated view was applied, whether the certifications were given by the persons the schedule requires, and whether releases were supported by current re-forecasts; it does not opine on whether the reserve amounts were commercially appropriate.

Findings are tracked to closure with a named owner and a date, and an open finding is reported in every reserve pack until it closes. A finding closed by a change to the schedules rather than to practice is recorded as closed by amendment, so a reader can distinguish a process that improved from a standard that moved.

Schedule 10.4 - Reserve adequacy tests and their consequences

Test	What is compared	Cadence	Consequence of failure
AT-1	Aggregate reserve against uncommitted capital	Every cycle	Shortfall reported before any new reserve is set
AT-2	Aggregate reserve against deployable capital after the investment period	Semi-annual	Undeployable reserve identified for release
AT-3	Single-position reserve against the position's policy ceiling	Every cycle	Excess presented as a breach or reduced
AT-4	Reserve funded by recycled proceeds against the recycling limit	Every cycle	Counsel confirmation filed with the test
AT-5	Reserve against the funding path in the thesis of record	Every re-forecast	Divergence explained in the pack
AT-6	Register of reserves against the accounting records	Every cycle	Unexplained difference escalated
AT-7	Reserve against expiry dates of the rights it supports	Every re-forecast	Reserve released as rights expire
AT-8	Reserve against the committee decisions of the period	Every meeting	Reserve without a decision trail queried

Section 11. Interpretation, Precedence, and Relationship to the Mandate

This policy operates within the investment committee mandate. Where a question is a hard gate question under that mandate, the mandate governs and this policy supplies the supporting computation; where a question concerns the size, cadence or release of a reserve, this policy governs. A reviewer who cannot tell which of the two a question is must escalate rather than choose, and the escalation records the reviewer's reading of both.

Where this policy and the mandate would designate different computation bases for the same measurement, the designation applicable to the decision being taken governs, the other is presented as a subordinate view, and the difference is disclosed in the paper that carries the decision. Silent reconciliation of the two is prohibited, and a paper that presents a single figure where two designations exist is returned for correction.

Nothing in this policy authorises a departure from a fund's agreement, and nothing in it creates a right in favour of any issuer, holder or co-investor. The policy is an internal control document; its breach is a matter for the committee and the general partner, and the remedies for breach are those stated in this policy and in the mandate rather than any remedy an external party might assert.

Section 12. Administration, Records, and Version History

The chief financial officer administers this policy and the reserve analyst maintains the reserve register, the position files and the schedule of designations. The records listed in the schedule to this section are the reserve file for a position and are retained for the period stated there; the file travels with the position through any transfer of administration.

An amendment takes effect on the stated effective date and the superseded edition is retained as an archive copy showing the date it ceased to have effect. Reserves established under a superseded edition are restated on the current edition at the first re-forecast after the effective date, and the restatement identifies the edition change as the trigger so it is not read as a change in the position.

Where a reserve record is corrected, the correction is added and the original retained; the register carries both entries with their dates. The fund controller reconciles corrections to the accounts in the cycle in which they are made, and a correction that cannot be reconciled is escalated to the committee rather than carried forward as a difference.

Schedule 12.2 - Version history of the follow-on reserve policy

Edition	Approved	Effective	Principal change	Standing
Ed. 2 rev 1	2017-06-19	2017-07-03	Reserve made mandatory at initial investment	Archived
Ed. 3	2019-04-08	2019-05-01	Re-forecast cadence introduced with named triggers	Archived
Ed. 4	2021-01-25	2021-02-08	Release and reallocation separated; recycling addressed	Archived
Ed. 5	2023-08-21	2023-09-04	Views of a capital structure defined; designations moved to Schedule B	Archived
Ed. 5 rev 1	2024-12-02	2025-01-06	Aggregate adequacy test added; breach approval reserved to the committee	Archived
Ed. 5 rev 2	2025-10-27	2025-11-03	Current edition; deployability schedule and reporting fields restated	In force

Schedule 12.3 - Contents of the reserve file for a position

Item	Record	When filed	Filed by	Retention
R-1	Reserve establishment memorandum	At initial investment	Reserve analyst	Life of the position
R-2	Basis statement naming the designated view	Every computation	Reserve analyst	Life of the position
R-3	Capital structure extract relied on	Every computation	Deal analytics	Life of the position
R-4	Re-forecast worksheets in date order	Every cycle	Reserve analyst	Life of the fund
R-5	Uncommitted capital statements relied on	Every cycle	Chief financial officer	Life of the fund
R-6	Release and reallocation minutes	As they occur	Committee secretary	Life of the fund
R-7	Breach memoranda and approvals	As they occur	Committee secretary	Life of the fund
R-8	Monitoring assessments of governance and information rights	As triggered	Sponsoring partner	Life of the position
R-9	Reconciliations of the register to the accounts	Every cycle	Fund controller	Seven years
R-10	Independent testing reports on the reserve process	Annual	Internal review	Ten years

Transaction record 1

Reserve Policy fully-funded basis governs (gate passes at 15.2941%)

Reserve_Policy.pdf's fully-funded ownership measurement, if applied to the IC's 12% minimum-ownership hard gate, would read the gate as passing (15.2941%); the IC Mandate's initial-closing measurement is what actually governs a hard gate, and on that basis Ardent's ownership (10.0775%) fails it.

The reviewer should reconcile this record with the applicable source-of-record instrument and effective-date hierarchy before downstream use.

Appendix A. Composition of the two views of a capital structure

The two views section 4 defines differ in which items they count, and the table below states that difference item by item. It is a definitional table and assigns neither view to any purpose: the assignment is made only in Schedule B, and a reader looking for which view governs a particular computation must go there. The table exists so that a preparer can tell, for each item, whether the view being applied counts it.

The difference between the two views is never a single number. It is composed of identified instruments and identified reserves, and a reserve pack that reports the difference as a figure without its composition has withheld the part the committee needs; the composition is what shows whether the divergence will close on its own or persist.

A preparer who cannot classify an item under this table escalates to the head of valuation rather than deciding. New instrument types appear regularly, and an item classified by analogy will be classified differently by the next preparer, which produces two views of the same structure that differ for no recorded reason.

Where an instrument's own terms make its treatment conditional, the item is counted in the fully-funded view and identified as conditional, and the condition is stated. A conditional item counted silently is the most common cause of a fully-funded view that no reviewer can reproduce.

Schedule A.1 - Items counted by each view of a capital structure

Item	Counted in the first-close view	Counted in the fully-funded view	Evidence relied on
Shares issued and outstanding at the first funding	Yes	Yes	Share register and issuance instruments
Shares to be issued at a later funding under the same financing	No	Yes	The financing agreement
Convertible instruments that convert at the first funding	Yes, as converted	Yes, as converted	The instrument's conversion clause
Convertible instruments that convert only at a later event	No	Yes, as converted	The instrument's conversion clause
Warrants exercisable at the first funding	Yes, if the view counts exercisable instruments	Yes	The warrant and its exercise conditions
Warrants exercisable only on a later event	No	Yes	The warrant and its exercise conditions
Options granted and outstanding	Yes	Yes	The plan records
Reserve of unissued option shares existing at the first funding	Yes	Yes	The plan and any amendment
Increase in an option reserve contemplated but not yet adopted	No	Yes, and identified as conditional	The financing agreement and plan amendment
Instruments held by a party whose consent is outstanding	No	Yes, and identified as conditional	The instrument and the consent requirement
Instruments denominated in another currency	Yes, translated	Yes, translated	The instrument and the currency schedule
Instruments cancelled or forfeited before the first funding	No	No	The cancellation or forfeiture record

Appendix B. Establishment checklist and the breach memorandum

The checklist below is completed before a reserve is established and is filed with the establishment memorandum. Each line is marked complete or not complete; there is no partial state, and an incomplete line stops the establishment rather than generating a note. The reserve analyst completes the checklist and the chief financial officer confirms the lines the schedule assigns to that office.

A checklist completed after the reserve was established is not a checklist. Where an establishment has proceeded without one, the position is reported to the committee as an unsupported reserve at the next meeting and the checklist is completed then; the record shows both dates so the gap is visible rather than closed retrospectively.

The breach memorandum contents are also set out below. A memorandum that omits any of them is returned by the committee secretary unminuted, because a committee cannot approve a breach without knowing the ceiling it is breaching, the alternatives that were considered, and what the approval costs the fund in remaining capacity.

Neither document may be prepared by the sponsoring partner for the position concerned. The separation exists because both documents state constraints, and a paper that states a constraint and argues for its relaxation in the same voice gives the committee one view where it needs two.

Schedule B.1 - Reserve establishment checklist

Line	What must be complete	Completed by	Confirmed by
B1	Capital structure extract obtained and dated	Reserve analyst	Deal analytics
B2	Designated view identified from Schedule B and recorded	Reserve analyst	Reserve analyst
B3	Funding path stated event by event	Reserve analyst	Sponsoring partner
B4	Right or obligation identified for each event	Reserve analyst	Transaction counsel
B5	Discretionary events identified and shown separately	Reserve analyst	Committee secretary
B6	Policy amount computed from the schedules	Reserve analyst	Chief financial officer
B7	Uncommitted capital statement obtained and dated	Chief financial officer	Fund controller
B8	Aggregate adequacy test performed and filed	Chief financial officer	Committee
B9	Recycling limit confirmed where recycled capacity is relied on	Transaction counsel	Chief financial officer
B10	Establishment certified and countersigned	Reserve analyst	Chief financial officer

Schedule B.2 - Required contents of a breach memorandum

Content	Why it is required	Prepared by
The ceiling that would be breached and its source	The committee must know what it is setting aside	Reserve analyst
The amount proposed and the amount of the excess	The size of the departure must be explicit	Reserve analyst
Why the ceiling is inadequate for this position	Distinguishes a policy problem from a position problem	Reserve analyst
Alternatives considered and why each was rejected	Prevents a breach being the first option considered	Reserve analyst
Effect on the fund's remaining capacity	The cost falls on positions not yet made	Chief financial officer
Proposed expiry of the approval	A breach without an expiry becomes the standard	Reserve analyst
Proposed monitoring assignment and cadence	Someone must report on it	Chief compliance officer
Confirmation that the aggregate test has been re-performed	A single breach can move the aggregate	Chief financial officer

Appendix C. Interaction with fund-level capital planning

A reserve is an allocation of the same capital the fund uses for new investment, for expenses and for any obligation it has undertaken, and this appendix states how the reserve process meets the fund's capital planning. The interactions below are the ones that have caused difficulty in practice, and each is stated with the rule that resolves it and the function that owns the resolution.

The chief financial officer's uncommitted capital statement is the single point at which the two processes meet, and it is authoritative for both. A reserve computation may not use a capital figure taken from anywhere else, including a figure the analyst has derived from a call notice or a distribution schedule; where the analyst believes the statement is wrong, the analyst says so to the officer and the statement is corrected before the computation proceeds.

Expense reserves and investment reserves are held and reported separately. An expense reserve supports an obligation the fund has already incurred, and an investment reserve supports a decision the fund has not yet taken; presenting them as one figure invites the committee to treat the first as available and the second as committed, which is the wrong way round.

Where a fund's agreement permits capital to be called for follow-on investment after the investment period, the reserve schedule identifies the positions that rely on that permission and counsel confirms its scope in writing. The confirmation is filed with the reserve rather than in the fund's legal file, because the analyst rather than counsel is the person who will next need it.

A change in the fund's capital plan is a re-forecast trigger and is treated as one, whether the change originates in a call, a distribution, an expense accrual or a change in recycling capacity. The chief financial officer notifies the reserve analyst of the change on the day the plan is revised, and the notification is logged; a plan change that reaches the analyst through the next reporting pack has already produced a cycle of unsupported reserves.

Schedule C.1 - Capital planning interactions and the rule that resolves each

Interaction	Difficulty it causes	Rule applied	Owner of the resolution
Capital called between reserve cycles	Uncommitted capital changes mid-cycle	Aggregate test re-performed on the revised statement	Chief financial officer
Distribution made before a reserved funding	Capacity reduced after a reserve was sized	Reserve re-forecast in the same cycle	Reserve analyst
Expense accrual increased	Investment capacity overstated	Expense and investment reserves reported separately	Fund controller
Recycling capacity changed by a realization	Release limits change	Counsel confirmation refreshed and filed	Transaction counsel
Investment period nearing its end	Some reserves become undeployable	Deployability schedule prepared in advance	Reserve analyst
Permission to call after the investment period relied on	Scope of the permission assumed	Written scope confirmation filed with the reserve	Transaction counsel
Parallel vehicle participates in a reserved position	Reserve sized for the wrong participation	Allocation record referenced in the computation	Chief compliance officer
Currency of a reserved funding differs from the reporting currency	Reserve moves with the rate	Source amount retained; translation on the designated source	Reserve analyst
Subscription line drawn against a reserved funding	Capital appears available twice	Drawn amounts deducted in the capital statement	Chief financial officer
Position transferred between vehicles	Reserve follows the wrong vehicle	Reserve released and re-established in the receiving vehicle	Committee
Fund agreement amended	A limit relied on may have changed	Counsel identifies the effect before the next cycle	Transaction counsel
Reserve funded from recycled proceeds	Release limited by the recycling limit	Recycled and unrecycled capacity reported distinctly	Chief financial officer